TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Profitability and liquidity ratios

Unit 4: Managing 2

4.4 Main profitability and liquidity ratios; 4.5.5 debt/equity



A revision lesson. Pupils run a car dealership in firms of four and revise profitability and liquidity ratios on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Current ratio

Round 1

Can they pay their bills?

Current ratio? Type the number before ":1".

Current assets	**€60,000**
Owed to suppliers	**€9,200**
Bank overdraft	**€5,800**

ANSWER

€4

€9,200 + €5,800 = €15,000;
€60,000 ÷ €15,000 = 4 : 1

Why: They hold €4 of assets for every €1 they owe soon.

2 Raise current ratio

Round 1

Your current ratio is 0.8.

Which two actions would raise it?

- **A** Buy computers on the overdraft
- **B** Sell an unused building for cash
- **C** Use cash to buy a new ramp
- **D** Pay suppliers with cash
- **E** Swap the overdraft for a 5-year loan

ANSWER

✓ Sell an unused building for cash
✓ Swap the overdraft for a 5-year loan

Why: Raise current assets or cut current liabilities, without the other moving.

3 Rank current ratio

Round 2

Three dealers: current assets and current liabilities.

Order by current ratio, lowest first?

- **A** €45,000 assets, €50,000 debts
- **B** €120,000 assets, €60,000 debts
- **C** €60,000 assets, €40,000 debts

ANSWER

1. **€45,000 assets, €50,000 debts**
2. **€60,000 assets, €40,000 debts**
3. **€120,000 assets, €60,000 debts**

Why: Ratios 0.9, 1.5 and 2.0.

Topic tasks

4 Net profit margin

Round 2

Last year's accounts.

Net profit margin, as a %?

Sales	**€120,000**
Cost of cars sold	**€100,800**
Overheads	**€12,000**

ANSWER

6%

€120,000 − €100,800 − €12,000 = €7,200; ÷ €120,000 = 6%

Why: Net profit is what is left after the cars and the overheads.

5 High current ratio

Round 3

Your current ratio is 3.5. Most of the current assets are cars that have not sold.

What should you do, and why?

A Cut the stock you hold

B Leave it as it is

ANSWER

✓ Cut the stock you hold

Why: Unsold stock ties up cash that could earn more elsewhere.

6 ROI as a %

Round 3

Last year's accounts.

Return on investment, as a %?

Net profit	**€42,120**
Share capital	**€84,240**
Retained profit	**€56,160**
Non-current liabilities	**€70,200**

ANSWER

20%

€84,240 + €56,160 + €70,200 = €210,600; €42,120 ÷ €210,600 × 100 = 20%

Why: Net profit was 20% of the capital employed.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Profitability and liquidity ratios”: the 6 come from these 10 questions.

1. Sales €200,000 and gross profit €50,000. What is the gross profit margin?
   ✔ **25%**

2. Sales €180,000 and net profit €14,400. What is the net profit margin?
   ✔ **8%**

3. What does a current ratio of 2:1 tell you about a dealership?
   ✔ **€2 of current assets for every €1 owed short term**

4. Current assets €90,000 and current liabilities €60,000. What is the current ratio?
   ✔ **1.5:1**

5. Which ratio measures whether a firm can pay its short-term debts?
   ✔ **The current ratio**

6. Net profit €24,000 on capital employed of €300,000. What is the return on investment?
   ✔ **8%**

7. Gross profit margin stays at 20% but net profit margin falls from 8% to 3%. What should the owner look at?
   ✔ **Expenses, which have risen relative to sales**

8. Which ratio compares profit with the money invested in the business?
   ✔ **Return on investment**

9. The gross profit margin is 30% on sales of €120,000. What is the gross profit?
   ✔ **€36,000**

10. Current assets €100,000, including €40,000 of unsold cars; current liabilities €50,000. What is the acid test ratio?
    ✔ **1.2:1**